Risks

Credit Risk

https://www.bankofengland.co.uk/-/media/boe/files/ccbs/resources/modelling-credit-risk

Credit is money provided by a creditor to a borrower (also referred to as an obligor as he or she has an obligation). Credit risk refers to the risk that a contracted payment will not be made. Markets are assumed to put a price on this risk. This is then included in the market's purchase price for the contracted payment. The part of the price that is due to credit risk is the credit spread. The role of a typical credit risk model is to take as input the conditions of the general economy and those of the specific firm in question, and generate as output a credit spread.